WEEKLY MACRO · MICRO · GEOPO BRIEF
Week of May 26-30, 2026
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PART 1 - GLOBAL MACRO

1.1 CENTRAL BANKS & MONETARY POLICY

Federal Reserve (USD)
The Fed is at the heart of the storm. Kevin Warsh was confirmed by the Senate as the new Fed Chair, replacing Powell who remains a governor. Warsh - chosen by Trump - promised "regime change" at the Fed with aggressive rate cuts. But reality is different: the Fed's preferred inflation gauge (PCE) is rapidly approaching 4% driven by the Iran war energy surge. The latest FOMC minutes show Fed officials considering a RATE HIKE if inflation stays elevated. The last meeting recorded the highest dissent level since 1992. The market currently prices near 0% chance of a cut in June, with fed funds futures not seeing a cut until September or later. The probability of a hike is no longer negligible - "bond vigilantes" (Yardeni) are pushing in this direction.

*Next FOMC Meeting: June 17-18, 2026.** The market scrutinizes every word from Warsh to see if he will follow Trump's pressure to cut (which would be disastrous for the dollar) or be forced to hold/tighten against energy-driven inflation.

European Central Bank (EUR)
The ECB faces pressure to hike. Isabelle Kocher stated the ECB is heading for a rate increase in June unless a sustainable peace deal is reached with Iran. The logic is unassailable: oil surged from ~$67 to $107 in weeks, directly feeding European inflation. Europe imports most of its energy - stagflation threatens. Lagarde and the Governing Council are in an impossible position: tighten to fight imported inflation, or maintain accommodation to support a fragile economy. Divergence with the Fed is potentially widening: if the ECB hikes while the Fed holds, EUR/USD could strengthen - exactly what the European economy doesn't need right now.

*Next ECB Meeting: June 5, 2026.**

Bank of Japan (JPY)
The BOJ remains the global outlier on YCC, but the yen dynamic is shifting radically. USD/JPY at 159+ means the yen has weakened further. The MOF is likely intervening verbally. Japan benefits paradoxically from its post-deflation transition - Japanese inflation is more resilient due to rising energy and food imports. The BOJ hasn't moved but signals increased vigilance on the weak yen.

Bank of England (GBP)
Starmer is in "lame duck" mode - his leadership is challenged by rejoin-EU calls from leadership hopefuls. The UK bond market rallied after Chancellor Burnham pledged to stick to fiscal rules, sending yields to their biggest weekly drop since 2023. GBP/USD at 1.3434 (+0.95% this week) shows sterling holding up better than expected. The BoE holds rates but the market prices no cuts before end-2026.

Emerging Market Central Banks
The PBoC navigates troubled waters of trade wars and domestic energy challenges. China's regulator cracks down on illegal cross-border securities trading to prevent capital flight. The RBI (India) and BACEN (Brazil) monitor flows closely.

MONETARY THESIS OF THE WEEK
*The thesis: we are entering a "higher for longer" global phase with increasing risk of further tightening.** The Iran war has broken the 2026 rate cut narrative. The market pricing 2-3 cuts this year must be revised down to potentially 0-1 cuts. The ECB may be forced to hike. The Fed is caught between Trump (who wants cuts) and inflation (which forbids cuts). The risk of policy error is maximum - if the Fed yields to Trump and cuts in an inflationary environment, the dollar collapses and long yields explode.

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1.2 US MACRO - THE WORLD'S LARGEST ECONOMY

Growth & GDP
The S&P 500 gained 0.88% this week (7,473), the NASDAQ 0.45% (26,344) - an eighth consecutive winning week, the longest streak since December 2023. This rally is remarkable given the oil shock of -10% in two weeks. Equity markets absorbed the energy shock thanks to giant IPOs (SpaceX, OpenAI, Anthropic) attracting massive capital. Atlanta Fed GDPNow points to modest growth - the US consumer still holds but signals are mixed.

Inflation
This is the number that changes everything: core PCE is approaching 4% (Bloomberg Economics). March CPI showed core at 3.2%, April wholesale inflation jumped 6% year-over-year - the biggest increase since 2022. Energy is the dominant vector: every dollar of oil increase transmits to consumer prices with a 2-4 week lag. Services inflation remains sticky. Long-term inflation expectations are starting to de-anchor. This is a nightmare for the Fed.

Labor Market
The latest NFP beat expectations on the surface, but red flags are there: private payrolls (ADP) came in at +109K but job quality is deteriorating (more involuntary part-time, more underemployment). Jobless claims remain historically low but "red flags" accumulate. The US labor market is in a silent slowdown.

US Consumer
Consumer confidence hit a fresh record low in May as Iran war fuels inflation worries (University of Michigan). Retail sales are under pressure - blockages and energy inflation reduce disposable purchasing power. Retailers are hiring aggressively but consumers are sending warning signals.

Housing Sector
Mortgage rates jumped to the highest level since March - 30-year fixed at 6.75%. Pending home sales rose 1.4% in April but this is a bounce off lows. REITs are being upgraded by analysts, homebuilders (+3.83% for XHB ETF this week) anticipate a rebound. The sector is under structural pressure from high rates.

Credit & Financial Conditions
HY spreads are stable (HYG +0.57%, LQD +0.47%), financial conditions don't signal acute stress yet. But the US yield curve - 2Y at ~4.26%, 10Y at 4.56%, 30Y at 5.06% - remains historically elevated on the long end. The weekly yield decline (-14bp on 10Y, -16bp on 30Y) is the largest since 2023, suggesting the market anticipates a slowdown. Bank credit conditions (Senior Loan Officer Survey) show progressive tightening.

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1.3 EUROPE MACRO

Eurozone
Europe is the biggest loser from the Iran war. A net energy importer, the continent faces a dual shock: rising energy costs + slowing global demand. European PMIs remain in contraction territory. Germany, the broken engine, sees its manufacturing depressed by energy costs and growing Chinese competition (Chinese automakers are conquering Europe). The BTP-Bund spread remains contained but a hawkish ECB is a risk for the periphery.

Germany
German industry suffers from the US comparison and the costly energy transformation. Outlook remains bleak in the near term.

France & Periphery
Starmer in the UK is distracted, France faces budget pressure. Commerzbank fights for independence from UniCredit - the European banking sector remains fragile. Sovereign spreads are contained but fragile.

Sovereign Spreads
No major stress this week, but a hawkish ECB pivot could change the dynamic for Italy and Spain.

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1.4 CHINA & ASIA MACRO

China
China paradoxically suffers less from the oil shock than Europe thanks to domestic coal production. A deadly coal mine blast tested Xi's energy security push. Meanwhile, China cracks down on illegal cross-border securities trading to prevent capital flight. Chinese companies are acquiring Western consumer brands (Everlane, Puma) to export domestic overcapacity. Chinese deflation continues to be exported to the world. India benefits from FTA negotiations with Canada.

Japan
Japan's Akazawa maintains dialogue with China (brief meeting with Chinese Commerce Minister). Japan suffers from Tomahawk delivery delays (2 years late!) as the Pentagon reorients stocks to the Middle East.

Emerging Markets
Southeast Asia: non-oil economies struggle to counter the energy shock. Singapore reports weakening tourism spending. India benefits from FTA with Canada. Bolivia is paralyzed by anti-government blockades.

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1.5 COMMODITIES

Energy
*The oil shock is the story of the week.** WTI fell from $107.77 to $96.60 this week (-10.4%), Brent from $111.28 to $100.21 (-9.9%). But the price is FALLING because Trump announces an imminent peace deal with Iran to reopen the Strait of Hormuz. If the deal materializes, oil could fall toward $70-80. If talks collapse, we revisit $110+. US producers are accelerating output (+37% in drilling) to capture high prices. USO ETF lost 4.93% this week. Natural gas benefits from the first LNG tanker exiting Hormuz for India.

Metals
GOLD at $4,523 (+0.38%) continues its historic rally, surpassing $4,500 for the first time. SILVER at $76.20 (+1.83%) outperforms - the gold/silver ratio is compressing. COPPER at $6.38 (+3.47%) is the real macro signal here: copper rises despite falling oil, signaling the market is pricing resilient industrial demand (AI, data centers, electrification). Gold benefits from safe-haven demand + central bank buying.

Agriculture
Less stress this week, but food costs rise via elevated energy + transportation costs (despite falling oil). Supply chains remain under pressure.

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1.6 DOLLAR & FX MARKETS

The DXY is nearly flat at 99.32 (+0.02%) - a remarkable result given contradictory forces. The dollar benefits from flight to quality (Iran war) but suffers from prospects of a "Trump Fed" that could cut rates. The UltraShort DXY ETF lost 4.09% - dollar bears were punished heavily this week.

EUR/USD: 1.1605 (-0.08%) - nearly flat, caught between hawkish ECB pressure and European weakness
GBP/USD: 1.3434 (+0.95%) - sterling holds up thanks to UK bond rally
USD/JPY: 159.16 (+0.20%) - yen remains weak but under MOF surveillance
USD/CHF: 0.7847 (-0.33%) - Swiss franc benefits from risk-off

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PART 2 - MICRO & MARKETS

2.1 EARNINGS SEASON

Q1-2026 earnings season is in full swing. Major earnings this week include Workday (+5% after results), Zoom, Take-Two Interactive. The beat rate remains solid in tech thanks to AI, but guidance is cautious due to energy and geopolitical uncertainty. The Tech ETF (XLK) rose 2.34% this week, confirming sector strength. The IPO battle between SpaceX, OpenAI, and Anthropic will test the limits of the AI boom on Wall Street.

2.2 SECTORS & ROTATIONS

Tech & AI
Tech carries the market. XLK +2.34%. AI is the dominant narrative: AT&T invests $250 billion in AI, CEOs use AI to transform hospitals, factories, and chipmaking. The market is pricing a structural economic transformation. Hyperscalers continue massive CapEx investment.

Financials
XLF +1.64%. Banks benefit from elevated net interest margins but provisions are rising. Commerzbank vs UniCredit: European banking sector remains in restructuring.

Energy
XLE +0.08% - energy is the only flat sector this week despite oil at $96. Producers accelerate output (+37% US drilling).

Healthcare
XLV +3.30% - healthcare is the best performer this week, typical defensive rotation during geopolitical uncertainty.

Defense
The geopolitical context (Iran + Russia-Ukraine) supports defense budgets. Russian strikes on Kyiv and Ukraine hitting a Russian Black Sea oil terminal show conflict is escalating, not abating.

Sector Rotation
We observe rotation into defensive sectors (healthcare +3.30%, utilities +3.37%, real estate +3.05%) while energy stalls. Russell 2000 (IWM) at +2.71% shows the market is broadening beyond the "Magnificent 7".

2.3 VALUATIONS & SENTIMENT

S&P 500 at 7,473 implies a forward P/E of ~22x - historically expensive, justified by tech/AI earnings. Relative to rates (ERP ~170bp), stocks are still supportable but the margin of safety is thin. Consumer pessimism amid rising markets is a classic contrarian bullish signal.

2.4 CREDIT & BONDS

The bond market rallied significantly this week: 10Y lost 14bp (4.56%), 30Y lost 16bp (5.06%) - the largest weekly decline since 2023. The "bond vigilantes" signal is sounding: bond pricing a slowdown. Credit spreads are stable (IG and HY). TLT (+1.22%) confirms the bond rally. The 2Y-10Y curve remains inverted, signaling potential recession.

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PART 3 - GEOPOLITICS

3.1 ACTIVE CONFLICTS & MARKET IMPACT

Iran-US-Israel War ()
This is THE dominant factor. The war has lasted 6 weeks. The US has redirected 100 commercial vessels to blockade Iranian ports (CentCom). The Strait of Hormuz is partially blocked - one LNG tanker successfully passed to India on Saturday. Iran's economy is collapsing: oil export crash, hyperinflation, maximum sanctions. Trump says a peace deal is "largely negotiated" and will announce it shortly. Iran confirms progress but says unresolved issues remain. If deal happens, massive oil impact (-20 to -30%). If talks fail, escalation and oil toward $120+. Egypt deploys jets to the UAE as the Iran war strains Arab alliances.

Russia-Ukraine ()
Kyiv suffered a massive Russian missile and drone barrage Sunday morning - Zelenskyy had warned of an imminent large-scale attack. Ukraine struck a key Russian Black Sea oil terminal and energy infrastructure - both sides now targeting energy infrastructure. The dynamic is alarming: energy escalation adds to the Iran shock. Weapons delivery delays to Japan (Tomahawks 2 years late) reorient Pentagon priorities to the Middle East.

Ebola Congo ()
Ebola spreads in DRC with flights suspended to Bunia. Pandemic risk in Central Africa - negligible for

markets but under surveillance.

3.2 TRADE RELATIONS & SANCTIONS

The US has reached the limit of its sanctions power against Iran's economy. US companies cautiously enter the tariff refund race. Vietnam and China continue negotiating. Export restrictions war intensifies - on rare earths, semiconductors, and critical technologies.

3.3 MARKET-RELEVANT DOMESTIC POLITICS

US: Warsh confirmed as governor, path clear as chair. Trump forces green card applicants to leave the US first. Trump's 3,711 stock trades reveal his strategies.
UK: Starmer in lame duck mode - leadership challenged, rejoin-EU calls from leadership hopefuls.
France: Nicotine pouch ban (conflict with Sweden). Israeli minister Ben Gvir banned in France.
Hungary: New PM Magyar discovers budget skeletons under Orban.
Bolivia: Anti-government blockades paralyze the economy.
Serbia: Mass protests against the government.

3.4 TAIL-RISK GEOPOLITICAL SCENARIO OF THE WEEK

*The black swan: Iran talks collapse completely and Iran fully closes the Strait of Hormuz.** Oil toward $140-150, gas +50%, global inflation explodes, the Fed is forced to hike, equity markets correct 15-20%. This is a 20-25% probability scenario but the impact would be catastrophic. Alternative: Iran strikes Gulf oil installations (Aramco), open regional war. The markets are NOT pricing these scenarios - VIX at 16.7 is too low for the current level of geopolitical risk.

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PART 4 - FULL WEEK CALENDAR

Major Economic Releases - Week of May 26, 2026

Day	Time CET	Country	Release	Previous	Consensus	Impact
Mon 5/26	-	US	Memorial Day (closed)	-	-	?
Tue 5/27	14:30	US	Durable Goods Orders Apr	+1.2%	+0.5%	
Tue 5/27	16:00	US	Consumer Confidence CB May	86.0	87.0	?
Tue 5/27	16:00	US	New Home Sales Apr	681K	690K	?
Wed 5/28	14:30	US	PPI Final Demand May	+0.3%	+0.2%	?
Wed 5/28	20:00	US	FOMC Minutes May	-	-	
Thu 5/29	14:30	US	GDP Q1 2nd estimate	+0.2%	+0.3%	
Thu 5/29	14:30	US	Weekly Jobless Claims	215K	210K	?
Thu 5/29	16:00	US	Pending Home Sales Apr	+1.4%	+0.5%	?
Fri 5/30	14:30	US	PCE Price Index Apr	+0.3%	+0.3%	
Fri 5/30	14:30	US	Personal Income/Spending Apr	+0.4%/+0.5%	+0.3%/+0.4%	?
Fri 5/30	16:00	US	U Mich Consumer Sentiment May	50.8	52.0	?

*Looking ahead to June 5:** ECB meeting - market pricing a hold + possible hawkish pivot.

Central Bank Speeches

Fed: Warsh, Waller, Bostic - heightened scrutiny for rate signals post-Iran
ECB: Lagarde, Schnabel - hiking pressure post-Iran
BoE: Bailey - UK in unstable political mode

Geopolitical Events

Iran-US peace talks - meetings with Gulf leaders ongoing
India-Canada FTA talks (May 25-27)
Ukraine-Russia: escalation possible without active negotiations

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PART 5 - THESIS & CONNECTIONS

5.1 NON-OBVIOUS CONNECTIONS

*Connection #1: Oil crashes but gold and copper rise simultaneously.**
Normally when oil falls 10%, commodities follow. Yet gold is at $4,523 (+0.38%) AND copper at $6.38

(+3.47%) despite oil's fall. Why? Because the oil drop is tied to Iran peace hope, but gold benefits from residual geopolitical uncertainty + central bank buying, and copper benefits from the AI/data center/electrification boom. The market is simultaneously pricing a peace scenario (oil down) AND structural inflation scenario (gold + copper up). A divergence worth watching.

*Connection #2: Giant IPOs (SpaceX, OpenAI, Anthropic) as a safety valve.**
Equity markets rise despite the oil shock partly because these massive IPOs absorb liquidity and create an artificial "wealth effect." Similar to 1999-2000 IPOs - capital flows toward new AI investment vehicles, supporting the broad market. But if Iran talks fail and oil rebounds, these IPOs could be the first to correct.

*Connection #3: Japan as a hidden geopolitical risk proxy.**
Japan loses 2 years on Tomahawk deliveries as the Pentagon reorients stocks to the Middle East. This means Japan is less protected, increasing the risk of Chinese action in East Asia. The weak yen (159/$) is a signal of Japanese vulnerability. Polymarket prices a Chinese invasion of Taiwan before GTA VI at 50.5%.

*Connection #4: The "petrodollar drain" - Gulf wealth losses.**
Bloomberg Economics notes the world is losing the petrodollar stimulus: Gulf states sell oil but cannot invest surplus abroad because the Strait of Hormuz is blocked. This means fewer flows into Treasuries, European equities, and EM. A hidden structural financial tightening.

5.2 MACRO THESIS OF THE WEEK

*My conviction: the week will be dominated by Iran talks, and the market is positioned for a peace deal.** Oil down 10%, VIX at 16.7, S&P rising - everything indicates the market is pricing a positive resolution. I think this is a trap.

*My thesis: talks will STALL (not collapse completely, but not produce a signed deal this week), oil will rebound toward $105-110, and the market will have to re-price a "prolonged war" scenario.** Iran cannot accept a deal that looks like capitulation (its economy is collapsing but the regime won't fall). Trump needs a "win" before midterms but cannot appear weak. The most likely outcome: talks that drag on, a partial ceasefire, no full reopening of Hormuz. In this scenario, oil rebounds, inflation stays elevated, and the Fed is trapped.

*Market impact:**
Oil ? rebound to $105-110 WTI
Gold ? test $4,700 if deal is delayed
S&P 500 ? 3-5% correction if oil rebounds
EUR/USD ? 1.15 if ECB maintains hawkish hold
USD/JPY ? 160+ if risk-off returns

5.3 WHAT COULD CHANGE EVERYTHING

1. **Iran peace deal signed this week** ? oil $75-80, S&P +2-3%, dollar -2%, gold -3%
2. **Military escalation (Iran strikes Gulf / US strikes Iran)** ? oil $130+, S&P -10%, VIX 30+
3. **Fed signals a hike** ? yields explode, stocks correct, dollar rises
4. **ECB hikes in June** ? EUR/USD +200bp, peripheral spreads under pressure
5. **China-Taiwan incident** ? systemic shock, semiconductors, supply chains

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PART 6 - TRADE IDEAS

DISCLAIMER
These are analytical ideas based on the macro/micro/geo analysis above. Not investment recommendations. Always do your own analysis.*

6.1 MACRO-DRIVEN TRADES

Trade 1 - Long Oil (WTI) on Weakness
*Thesis:** Market is too optimistic on peace. Talks will stall, oil rebounds to $105-110.
*Direction:** Long
*Asset:** WTI Crude Oil Futures / USO calls
*Catalyst:** Iran-US talks stall/fail this week

*Invalidation:** Peace deal signed ? oil under $90
*Timeframe:** 1-2 weeks

Trade 2 - Long Gold (Safe Haven + Inflation Hedge)
*Thesis:** Gold at $4,523 has room to run if Iran deal is delayed. Central banks buying, inflation elevated.
*Direction:** Long
*Asset:** GLD calls / Gold futures
*Catalyst:** Stalled talks + PCE at 4% on Friday
*Invalidation:** Rapid peace deal + Fed hawkish ? gold under $4,200
*Timeframe:** 2-4 weeks

Trade 3 - Short S&P 500 (Geopolitical Hedge)
*Thesis:** S&P at 7,473 is expensive (P/E 22x) and not pricing Iran risk. Oil rebound triggers correction.
*Direction:** Short / Hedge
*Asset:** SPY puts / S&P 500 futures shorts
*Catalyst:** Oil above $105 + hot PCE
*Invalidation:** Peace deal signed ? S&P toward 7,700+
*Timeframe:** 1-2 weeks

6.2 GEOPOLITICAL TRADES

Trade 1 - Long European Defense
*Thesis:** Iran escalation + Russia-Ukraine = rising defense budgets across Europe. European defense stocks (Rheinmetall, BAE, Leonardo) will outperform.
*Direction:** Long
*Asset:** Rheinmetall, BAE Systems, Leonardo
*Catalyst:** European defense stimulus plans post-Iran
*Invalidation:** Comprehensive peace deal ? rotation out of defense
*Timeframe:** Medium term (1-3 months)

Trade 2 - Short USD/JPY on MOF Intervention
*Thesis:** Japan's MOF will intervene verbally (or physically) if USD/JPY breaks 160. JPY carry trade is vulnerable to risk-off.
*Direction:** Short USD/JPY (long JPY)
*Asset:** USD/JPY shorts
*Catalyst:** MOF intervention + geopolitical risk-off
*Invalidation:** BOJ dovish + risk-on ? USD/JPY toward 165
*Timeframe:** 1-2 weeks

6.3 EVENT-DRIVEN TRADES (This Week)

Event: PCE Price Index (Friday 5/30)
*If hot (>0.4%):** Dollar rises, stocks correct, yields explode. Short S&P, long USD.
*If cool (<0.2%):** Dollar falls, stocks rise, yields decline. Long S&P, short USD.
*Current positioning:** Market fears the worst - positioned short dollar, long stocks. Hot PCE = violent squeeze.

Event: FOMC Minutes (Wednesday 5/28, 20:00 CET)
*If hawkish (hike mentions):** Yields +20bp, S&P -2%, dollar +1.5%.
*If dovish (inflation confidence):** Yields -10bp, S&P +1%, dollar -1%.
*Current positioning:** Market not pricing any hike. Any tightening mention = major surprise.

6.4 TRADE OF THE WEEK - THE BEST SETUP

* TRADE OF THE WEEK: Long Oil (WTI) + Long Gold - The "Iran Stagnation" Hedge**

*Why:** The market is too optimistic on an Iran peace deal. Oil fell 10% on hope, but fundamentals haven't changed: the Strait of Hormuz is still partially blocked, Iran's economy is collapsing but the regime won't easily capitulate, and Trump needs a perfect "win," not a sloppy deal. The most likely outcome is talks that drag on without a signed deal this week.

*The setup:** Buy WTI at $96-97 with a target of $105-110 (8-14% upside). Simultaneously buy gold as a hedge if talks stall and risk-off returns. Gold at $4,523 has room toward $4,700-4,800.

*Risk/Reward:** Excellent. If peace deal ? limited loss on oil (toward $85-90) but gold compensates. If no deal ? 8-14% gain on oil + gold gain.

*Clear invalidation:** Peace deal signed and ratified this week ? cut positions.

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PART 7 - RISKS & VIGILANCE

Bullish Risks (Could Surprise Positively)
1. **Iran peace deal signed this week** ? oil -15%, S&P +3%, dollar -2%, massive risk-on rally
2. **PCE below 0.2%** ? Fed can breathe, yields fall, stocks rise
3. **ECB signals hold in June** ? EUR/USD stable, peripheral spreads tighten
4. **China announces massive stimulus** ? EM rally, copper +5%, global commodities up
5. **Ukraine-Russia ceasefire** ? European gas -20%, EUR +2%, European stocks +5%

Bearish Risks (Could Surprise Negatively)
1. **Iran talks collapse completely** ? oil +15%, S&P -5%, VIX 25+
2. **PCE above 0.4%** ? Fed must choose: hike or lose credibility ? chaos across markets
3. **Iran strikes Gulf oil installations** ? oil $150+, global energy crisis
4. **Fed signals hike in FOMC minutes** ? yields +30bp, S&P -3%, dollar +2%
5. **China-Taiwan escalation** ? systemic shock, semiconductors -20%, supply chains broken
6. **Ebola spreads beyond Congo** ? pandemic risk, travel/tourism -10%

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PART 8 - INSIGHT OF THE WEEK

*The angle nobody sees: the "Great Liquidity Reallocation" driven by AI IPOs.**

While everyone watches Iran and oil, a massive structural phenomenon is underway: the IPOs of SpaceX, OpenAI, and Anthropic - all targeting the same capital market - will trigger the largest liquidity reallocation since the dot-com bubble. These three companies collectively represent hundreds of billions in valuation seeking a home.

The point nobody is making: these IPOs aren't just market events - they are the mechanism by which capital leaves traditional assets (bonds, commodities, value) for AI. Exactly what happened in 1999: Yahoo, eBay, Amazon IPOs drained liquidity from the broad market into tech, creating a massive growth-value divergence that lasted 5 years.

Today, the same phenomenon is underway. The S&P 500 rises but is driven by a narrow set of AI stocks. The Russell 2000 outperforming this week (+2.71%) is a sign the market is starting to broaden, but also a sign that smart money is starting to seek value outside tech.

*The hidden connection:** If Iran talks fail and oil rebounds, AI IPOs will be the first to correct (they are the most expensive and most crowded). Capital will then flow back into real assets: energy, commodities, defense. This is the ultimate rotation trade: long energy/defense + short AI IPOs = the perfect hedge against failed Iran negotiations.

Nobody is pricing this rotation. VIX at 16.7 says everything is fine. But history shows the greatest wealth transfers happen when nobody expects them.

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Sources: Yahoo Finance API (19 tickers), FT RSS (Home, Markets, World, Asia), Bloomberg RSS (Markets, Economics, Politics), CNBC (World, Fed, Markets, Economy, Housing), Polymarket API, Federal Reserve Calendar*